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File No.: EXP202305050

RESOLUTION OF RECONSIDERATION APPEAL

Examined the reconsideration appeal filed by QUALITY-PROVIDER S.A. against the resolution issued by the Director of the Spanish Agency for Data Protection dated July 13, 2023, and based on the following

FACTS

FIRST: On July 13, 2023, a resolution was issued by the Director of the Spanish Agency for Data Protection in file EXP202305050, by virtue of which a fine was imposed on QUALITY-PROVIDER S.A. "FIRST: TO IMPOSE on QUALITY-PROVIDER S.A., with NIF A87407243, for an infringement of Article 58.1 of the GDPR, classified under Article 83.5 of the GDPR, a fine of 20,000.00 euros (TWENTY THOUSAND euros)."

This resolution, which was notified to QUALITY on July 14, 2023, was issued following the processing of the corresponding sanctioning procedure, in accordance with the provisions of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the Guarantee of Digital Rights (LOPDGDD), and subsidiarily under Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), regarding the processing of sanctioning procedures.

SECOND: As proven facts of the aforementioned sanctioning procedure, PS/00204/2023, the following was recorded:

"FIRST: The communication to QUALITY of the inspection visit by inspectors from the Spanish Agency for Data Protection to its headquarters, referred to in the second and third recitals, was notified in accordance with the provisions of the LPACAP on March 15, 2023.

SECOND: On March 22, 2023, QUALITY communicated in writing that it would not allow the inspectors of this Agency to enter, stating its refusal to allow this Agency access to any data and to provide any information.

THIRD: The notification of the agreement to initiate the present sanctioning procedure was received by QUALITY on May 26, 2023.

FOURTH: QUALITY has submitted allegations to the agreement to initiate this sanctioning procedure recorded in the ninth recital.

FIFTH: The notification of the proposed resolution of the present sanctioning procedure was received by QUALITY on June 16, 2023.

SIXTH: QUALITY has submitted allegations to the proposed resolution of this sanctioning procedure recorded in the eleventh and twelfth recitals."

THIRD: QUALITY submitted a reconsideration appeal on July 18, 2023, to this Spanish Agency for Data Protection.

As a preliminary allegation, QUALITY reaffirms all statements made in previous writings.

QUALITY insists that it has never had its own databases or files and that the Spanish Agency for Data Protection is not competent.

Furthermore, QUALITY reiterates that the inspectors of this Agency had already been warned via email that they would not be available on March 15, 2023, and that the absence of these inspectors on March 27, 2023, after QUALITY indicated that it would not allow their entry, was due, it claims, to their fear of being recorded.

QUALITY also insists that the Director of this Agency was appointed irregularly and states:

"That we maintain our statements, and we are supported by the Supreme Court itself and the DATA PROTECTION COMMITTEE, as well as the resolutions of European Courts, regarding the current selection process for appointing a president of the AEPD. This Director was appointed without going through any selection process, this proven fact is indisputable.

Moreover, this Judgment makes it clear that when positions expire, they become ineffective. Here, two exceptions are combined:

a) Position Abolished.

b) Position Expired.”

QUALITY argues that “The European Court of Human Rights states that the consequences arising from the dysfunction in the renewal of the General Council of the Judiciary are enormous concerning the ordinary functioning of the judiciary and that a chain of disturbances is observed throughout the judicial system.”

Thus, it concludes that “the expired and abolished positions in Royal Decree 389/2021, of June 1, cannot be valid until a new President is elected, if they are not re-elected and this communication is published in the BOE, a fact that has not been carried out by the government. In light of this judgment, which is directly applicable, an interim president must be appointed until the new definitive appointment, therefore, Ms. Mar España Martí must cease her functions immediately and submit her resignation.”

QUALITY declares as proven facts: that this Agency has not been able to demonstrate, it says, that QUALITY has files or databases of its own; that it continues to demonstrate the lack of legitimacy of the AEPD, due to the expired and abolished positions in Royal Decree 389/2021, of June 1; that this Agency, it declares, is untruthful regarding the lack of knowledge and notice on March 15, 2023, as it was informed of its absence; that this Agency insists,

C/ Jorge Juan, 6

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28001 – Madrid

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3/11

It again fails to tell the truth regarding the day of March 27, 2023, stating that the failure to attend is, they say, the responsibility of this Agency and not of QUALITY; that the sanction against CAIXABANK for providing a mother, who did not identify herself, with data from her daughter's account is lesser, being for a fault, says QUALITY, much more serious, and QUALITY wonders if this is because this Agency is a client of said entity; that, says QUALITY, the Spanish state has ceded its sovereignty on the issue of data protection to the European Union and that the CJEU on 25/02/2021 condemned Spain to pay 15 million for failing to transpose a directive in time.

Regarding notifications, QUALITY states that Justice communicates to the courts its duty to summon the defendant companies at their domicile and not electronically after the publication in the Official State Gazette of the ruling of the Constitutional Court 47/2019 of April 8, which upholds the amparo appeal of a company that was summoned for a conciliation act and the subsequent labor trial at its enabled electronic address instead of by certified mail at its registered office, establishing that this electronic summons violated the fundamental right to effective judicial protection of the defendant company.

As for effective judicial protection, QUALITY states:

“The TC concludes that the questioned dismissive decision ‘disregarded its obligation of judicial control and, with it, the principle of primacy of Union Law by disregarding the interpretation of Directive 93/13/EEC’ and the ‘omission is contrary to what is established by constitutional doctrine.’ Therefore, the court finds that there has been a violation of the fundamental right of the claimant to effective judicial protection without defenselessness (art. 24.1 CE) and declares the nullity of the order of January 13, 2022, issued by the Court of First Instance and Instruction number 1 of Valdemoro. In ruling 23/2023 of the First Chamber, the TC points out that the claimant requested the control of the contractual clauses on three occasions, which was denied. They were first denied because the nullity should have been raised beforehand; then due to their non-appearance at a hearing, and lastly, because the Court considered that, at that instance, it was not the appropriate procedural channel. The issue was that the control should have been carried out ex officio from the beginning and the requests should not have been ignored.”

On the other hand, QUALITY again argues, based on articles 63.3 and 74 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), that, since the inspectors of this Agency did not appear on March 27, 2023, nor could they be identified, it deprived them of the reason for recusal against them, which, it opines, resulted in a violation of fundamental rights.

QUALITY reproduces the Sole Additional Provision of Royal Decree 389/2021, of June 1, which approves the Statute of the Spanish Agency for Data Protection, regarding the elimination of management bodies as well as article 2.1.a) of Directive (EU) 2019/1937 of the European Parliament and of the Council of October 23, 2019, regarding the protection of persons who report infringements of Union Law, referring to the material scope of application.

C/ Jorge Juan, 6

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28001 – Madrid

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4/11

QUALITY also cites Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, regarding the protection of natural persons with regard to the processing of personal data and the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), as well as Articles 4, 6, 11, and 14 of Directive (EU) 2019/1024 of the European Parliament and of the Council of June 20, 2019, on open data and the reuse of public sector information.

Finally, QUALITY comments on the reasons why "The ECHR condemns Spain and criticizes it for the 'unjustified and prolonged non-compliance with the law' for failing to renew the CGPJ."

For all the above, QUALITY requests that the present file be archived and that all open and sanctioning procedures by this Agency be suspended due to the lack of an authorized signature from our Director, as her position has been abolished and expired. Furthermore, it requests the immediate suspension of the present sanction and others in progress, and that this Agency demonstrate that QUALITY has files or databases owned by it.

LEGAL GROUNDS

I

Competence

The Director of the Spanish Agency for Data Protection is competent to resolve the present appeal, in accordance with the provisions of Article 123 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP) and Article 48.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter, LOPDGDD).

II

Response to the allegations presented

In relation to the statements made by QUALITY, it essentially reiterates the allegations already presented throughout the sanctioning procedure, which were already analyzed and dismissed in the Legal Grounds second and third of the contested Resolution, as transcribed below.

"I

Allegations to the initiation agreement

In response to the allegations presented by QUALITY, the following should be noted.

First, regarding the so-called preliminary allegation by QUALITY, related to Directive (EU) 2019/1937, it should be highlighted that Article 1 of the same states that its purpose is to reinforce the application of Union law and policies in specific areas by establishing common minimum standards that provide a high level of protection for individuals who report infringements of Union law, with the personal scope of application outlined in its Article 4, which is limited to whistleblowers working in the private or public sector who have obtained information about infringements in a work context.

Furthermore, Article 17 states that any processing of personal data carried out under this Directive, including the exchange or transmission of personal data by competent authorities, shall be carried out in accordance with Regulation (EU) 2016/679 and Directive (EU) 2016/680.

Thus, the main objective of this Directive is to protect those who report infringements or irregularities in a company through a specific channel without fear of retaliation.

For its part, the first paragraph of Article 1 of the GDPR proclaims that the Regulation establishes rules relating to the protection of natural persons with regard to the processing of personal data and rules relating to the free movement of such data. Its second paragraph adds that it protects the rights and

fundamental freedoms of natural persons and, in particular, their right to the protection of personal data.

Regarding the material scope of application of the GDPR, it is limited to what is prescribed in its Article 2, where it specifies in its first paragraph that it applies to the total or partial automated processing of personal data, as well as to the non-automated processing of personal data contained or intended to be included in a file.

Moreover, Article 51.1 of the GDPR stipulates that each Member State shall provide that one or more independent public authorities (hereinafter "supervisory authority") shall be responsible for monitoring the application of this Regulation, in order to protect the rights and fundamental freedoms of natural persons with regard to processing and to facilitate the free movement of personal data within the Union, developing the functions of each supervisory authority in its Article 57.

For its part, the LOPDGDD in its Article 47 establishes the functions and powers of the Spanish Agency for Data Protection, among which is the supervision of the application of the GDPR, and its Title VIII regulates the procedures in case of possible violations of data protection regulations.

Therefore, Directive (EU) 2019/1937, contrary to what QUALITY claims, does not modify the GDPR nor render the LOPDGDD obsolete, but rather it is a norm with a clearly distinct purpose and scope of application from that of the GDPR and, therefore, from the LOPDGDD. Thus, the claims made by QUALITY regarding the inadequacy of the procedure initiated by the Spanish Agency for Data Protection for the processing of the present file are completely unfounded.

Next, it states as its first and only allegation that it does not have personal data of anyone, accusing the AEPD of a lack of legal rigor and transparency. In this regard, it is...

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28001 – Madrid

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6/11

It indicates that the alleged infringement that initiates this sanctioning procedure is not related to the legitimacy of the possible treatments that may be carried out, but rather to the obstruction of this Agency's ability to exercise the investigative powers recognized by Article 58.1 of the GDPR and 53.1 of the LOPDGDD, as developed in the motivation of the initiation agreement. Furthermore, the activity of processing personal data by QUALITY is evidenced in firm resolutions of this Agency, such as that of the sanctioning procedure EXP202103457.

The next argument put forth by QUALITY focuses on the expiration of the term of the Director of the Spanish Agency for Data Protection. Well, the SAN 5570/2022, dated December 9, 2022, already extensively analyzes this matter, ruling as follows:

"Having presented the positions of the parties, we must start from Article 53, paragraph 3, of the GDPR, which indicates that the members of the supervisory authority 'shall cease their functions in the event of termination of their mandate, resignation, or mandatory retirement, in accordance with the law of the Member State concerned.'

In the internal sphere, Article 36.1 of Organic Law 15/1999, of December 13 (LOPD), which is the applicable regulation when the appointment of the Director of the AEPD is made, establishes that the Director of the AEPD shall be appointed by Royal Decree for a period of four years, and paragraph 3 of the same provision states that before the expiration of that term, the Director of the AEPD shall only cease to hold office at their own request or by separation agreed upon by the Government for serious breach of their obligations, unforeseen incapacity to perform their function, incompatibility, or conviction for a criminal offense.

That is to say, after the term of 4 years has elapsed, the Government may dismiss the Director without the need for cause, but this does not imply that when that term is fulfilled, their position automatically ceases to be effective and to have any functions or competences, as this is not expressly stated in the aforementioned LOPD, nor in Organic Law 3/2018, of December 5 (LOPDCDD), in its Article 48 regarding the Presidency of the AEPD.

This has been understood and practiced by all Governments that proceed to expressly dismiss the Directors of the AEPD by Royal Decree, even when their term of appointment has expired, without

their positions ceasing to be effective, in function, until their respective dismissals and the contemporaneous appointments of their successors in office, to avoid gaps in the institution. This is in accordance with the principles of responsibility and continuity of institutions, to prevent the institution from becoming inoperative when the appointment of a new person to the position has not occurred.

The legislator could have expressly established the automatic provision for the expiration of the position, that is, that the effectiveness in the position ceases at the very moment the term is fulfilled, but this has not been done either in the LOPD or in the current LOPDGDD, nor in Royal Decree 389/2021, of June 1, 2021, which approves the new Statute of the AEPD, which precisely in Article 12.3 establishes that 'the person holding the outgoing Presidency shall continue in office until...'

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28001 – Madrid

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7/11

the taking of office of the new holder of the Presidency," without establishing any limitations regarding the exercise of their functions or competencies during the interim period, which were not established in the previous regulations either.

Therefore, since no limitations have been established on the actions of the Director of the AEPD in office, unlike what occurs, for example, in Article 21.2 of Law 50/1997, of November 27, on the Government, which states that the Government "remains in office until the new Government takes office, with the limitations established in this Law," the Director of the AEPD has the authority to issue the contested resolution, as well as the agreement to initiate the sanctioning procedure.

In this context, it cannot be deemed that the condition under which the Director of the AEPD issued the contested act is nonexistent.

Regarding the assertion that the obstruction to the inspection work of this Agency does not exist because Royal Decree 389/2021, of June 1, abolishes the Data Inspection, QUALITY forgets that, although the Data Inspection as a governing body is abolished, in its place, the General Subdirectorate of Data Inspection is the equivalent body in the organizational structure of this Agency, with its competencies and functions defined in Article 27 of said Royal Decree, and therefore, this Subdirectorate maintains its competencies as stated in that article.

In relation to the inspection that was attempted on March 15, 2023, there is a record in the file EXP202213771 indicating that QUALITY was notified of the inspection on March 8 at 11:44 AM by a phone call to the number (...), with no record of any call or email to cancel it. Having appeared on that date at the registered office of QUALITY and informing the present individuals that the location where the inspectors are is renting offices for events to different companies, including QUALITY, and due to the refusal to provide any information, the acting inspectors left the premises.

On March 15, 2023, a letter was sent to QUALITY indicating that on March 27, 2023, inspectors from this Agency would appear to conduct an inspection visit. QUALITY, by means of a registered entry letter dated March 22, 2023, communicated that they would not allow the inspectors from this Agency to enter their premises nor provide any information. Due to their refusal to the inspection, the inspectors did not go to the headquarters.

Finally, regarding QUALITY's assertion that the resolution has been communicated outside the time allowed by law, it is noted that, on May 24, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate the present sanctioning procedure, where it was informed that the procedure would have a maximum duration of twelve months from the date of said Agreement, in accordance with the provisions of Article 64 of the LOPDGDD. Therefore, a resolution has not yet been issued, and the time frame that prevails under the principle of normative specialty is that indicated in the aforementioned initiation Agreement.

III

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Allegations to the Proposal for Resolution

In response to the allegations regarding the Proposal for Resolution of the present file submitted by QUALITY, the following should be noted.

Firstly, regarding the so-called preliminary allegation by QUALITY, in which it reaffirms all the statements made in previous writings, it should be noted that a large part of the allegations presented against the proposal for resolution of this file reproduce the same arguments raised against the initiation agreement and, therefore, have already been rebutted by this Agency in the previous Legal Basis.

As for QUALITY's assertion that it has been unable to find SAN 5570/2022, dated December 9, 2022, within the CENDOJ, we include the following link where the publication can be accessed in CENDOJ: <https://www.poderjudicial.es/search/AN/openDocument/2f1d10beac9183daa0a8778d75e36f0d/20221229>

On the other hand, regarding the alleged inconsistency pointed out by QUALITY when this Agency indicated that the present procedure has a maximum duration of twelve months from the date of the initiation agreement, while in the file numbered EXP202300740 we informed them that its maximum duration was nine months, it is clarified that Article 64 of the LOPDGDD has been modified by Final Provision 9.4 of Law 11/2023, of May 8, with said modification coming into effect as of May 10, 2023. Therefore, since that date, the maximum duration of the sanctioning procedure has changed to twelve months from the date of the initiation agreement. Given that the date of the initiation agreement was May 24, 2023, the maximum duration of the present file, as informed, is 12 months.

Regarding QUALITY's assertion concerning the lack of motivation in the assessment of the sanction to apply Article 83.2.b) of the GDPR, regarding the intentionality or negligence in the infringement, QUALITY communicated in writing that it was exercising its right not to testify and that it would not allow the inspectors of this Agency to enter its premises. QUALITY invokes its rights not to present original documents and to act assisted by counsel, according to Article 53.1.c) and g) of the LPACAP; however, these rights do not conflict with the powers of this Agency, particularly to carry out inspections, require the exhibition or sending of the necessary documents and data, examine them at the location where they are deposited or where the treatments are carried out, and obtain copies of them, in accordance with the provisions of Article 53.1 of the LOPDGDD.

Regarding QUALITY's mention of Article 63.3 of the LPACAP, it should be noted that the present sanctioning procedure originates from the obstruction of the inspection activity of this Agency carried out within the framework of file number EXP202213771; therefore, it has not been initiated due to facts or behaviors classified as infringements in which the infringer persists continuously.

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28001 – Madrid

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Regarding QUALITY's assertion that the absence of inspectors from this Agency and their inability to identify themselves on March 27 deprived them of grounds for recusal, it is made clear that it was QUALITY's refusal to the inspection, communicated in writing, that caused the inspectors not to attend their premises as planned. Furthermore, the mere identification of the inspectors does not entail their recusal, which would only occur, if applicable, in accordance with the provisions of Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

QUALITY also requests that the name of the complainant be removed from the current procedure, clarifying that the complainant in file EXP202213771 is not a participant in the present procedure, with their name appearing only in the information request that this Agency notified to QUALITY and which was incorporated into the present procedure for evidentiary purposes, as indicated in the Initiation Agreement.

Finally, regarding QUALITY's reference to the sanction imposed by this Agency against CaixaBank for providing account data of a daughter to a mother who did not identify herself, it is reiterated that the

infringement that underpins this sanctioning procedure is not related to the legitimacy of any possible treatments that may be carried out; therefore, it does not aim to determine the necessity for QUALITY to request the accreditation of the identity of third parties or the manner, if applicable, of doing so, but is limited to the obstruction of the inspection activity of this Agency.

As for QUALITY's assertion that courts must summon the defendant companies at their domicile and not electronically, it should be noted that this Agency is not part of the Administration of Justice.

Additionally, QUALITY refers to the ruling of the Constitutional Court 47/2019 of April 8, in which the recognition of the violation of the right to effective judicial protection is based on the fact of not having accessed the content of the communication made through the electronic address.

In the case at hand, the communication to QUALITY of the inspection visit by inspectors from the Spanish Data Protection Agency to their registered office, notified in accordance with the provisions of the LPACAP, was received by QUALITY on March 15, 2023. In response to this notification, QUALITY replied in writing, dated March 22, 2023, that they would not allow the inspectors from this Agency to enter, refusing to allow this Agency access to any data and to provide any information, which constitutes an obstruction of the inspection activity of this Agency carried out within the framework of file number EXP202213771.

III

Conclusion

Consequently, in the present appeal for reconsideration, QUALITY has not provided new facts or legal arguments that would allow for a reconsideration of the validity of the contested resolution.

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10/11

In view of the cited provisions and others of general application, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DISMISS the appeal for reconsideration filed by QUALITY-PROVIDER S.A. against the resolution of this Spanish Agency for Data Protection issued on July 13, 2023, in file EXP202305050.

SECOND: TO NOTIFY this resolution to QUALITY-PROVIDER S.A.

THIRD: To warn the sanctioned party that the imposed sanction must be fulfilled once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, within the voluntary payment period indicated in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by depositing it into the restricted account no. ES00 0000 0000 0000 0000 0000, opened in the name of the Spanish Agency for Data Protection at CAIXABANK, S.A., or otherwise, collection will proceed in the executive period. Upon receipt of the notification and once it is enforceable, if the enforceability date falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (LPACAP), the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Finally, it is noted that in accordance with the provisions of Article 90.3 a) LPACAP, the firm resolution

in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Agency's Electronic Registry [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned LPACAP. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it would consider the provisional suspension to be concluded.

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11/11
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